

The cheapest part of your medicine is **the medicine.**

A medicine is an **active pharmaceutical ingredient** someone has formulated, filled and licensed.

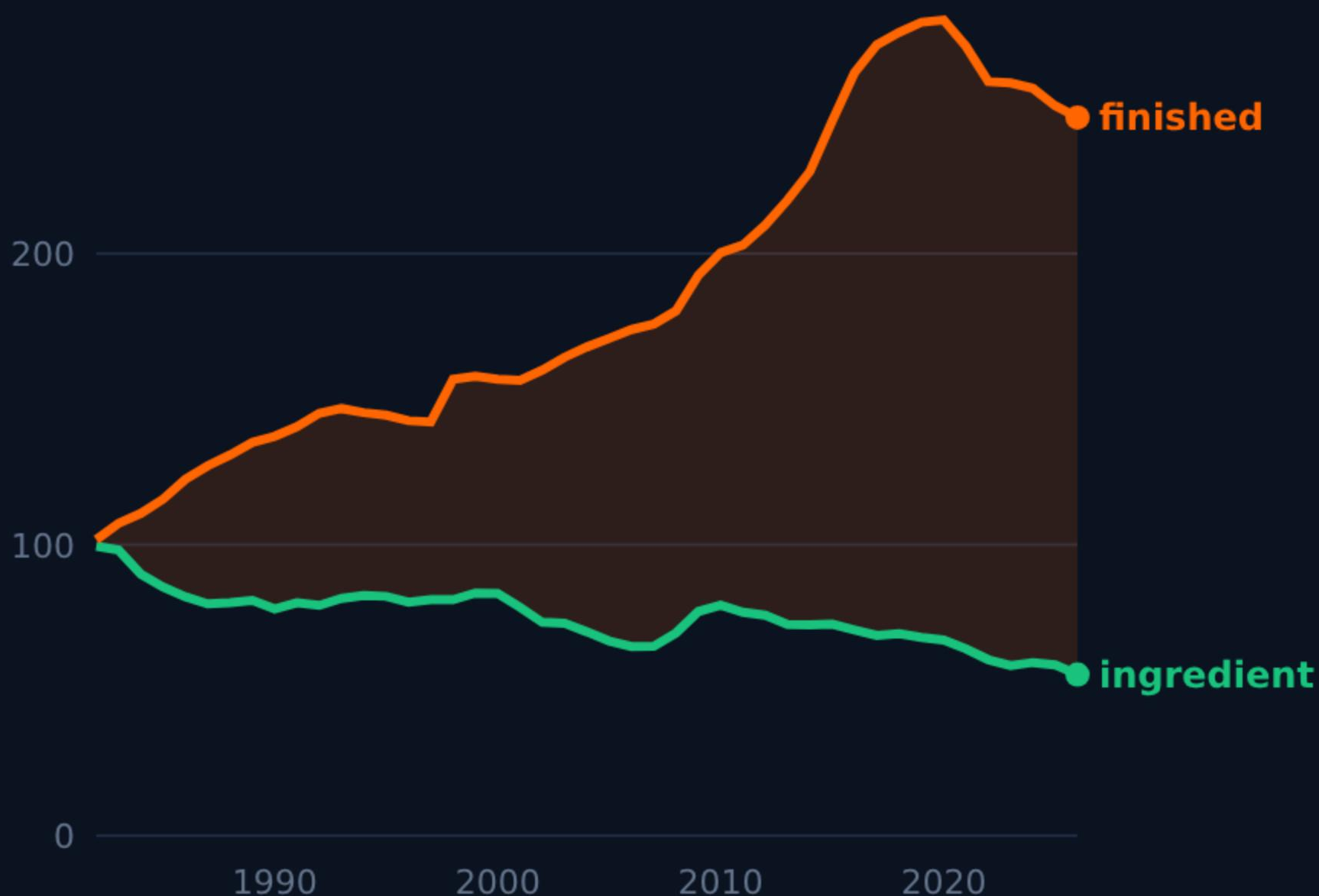
So — does the price of the medicine follow the price of the ingredient inside it?

Forty-four years of data say no.

SWIPE →

The ingredient fell 44.8%. The medicine rose 145.1%.

Both are BLS producer price indexes, deflated by CPI, indexed to June 1982. **The gap between the lines is this whole story** — it opened from the mid-1980s and has been closing since 2020.



Two-thirds of the movement is the ingredient — not the price.

Decompose the variance of the ratio: **65.8% comes from the ingredient side.** A manufacturer watching its own selling price is watching **the quieter half of its own margin.**

INGREDIENT SIDE

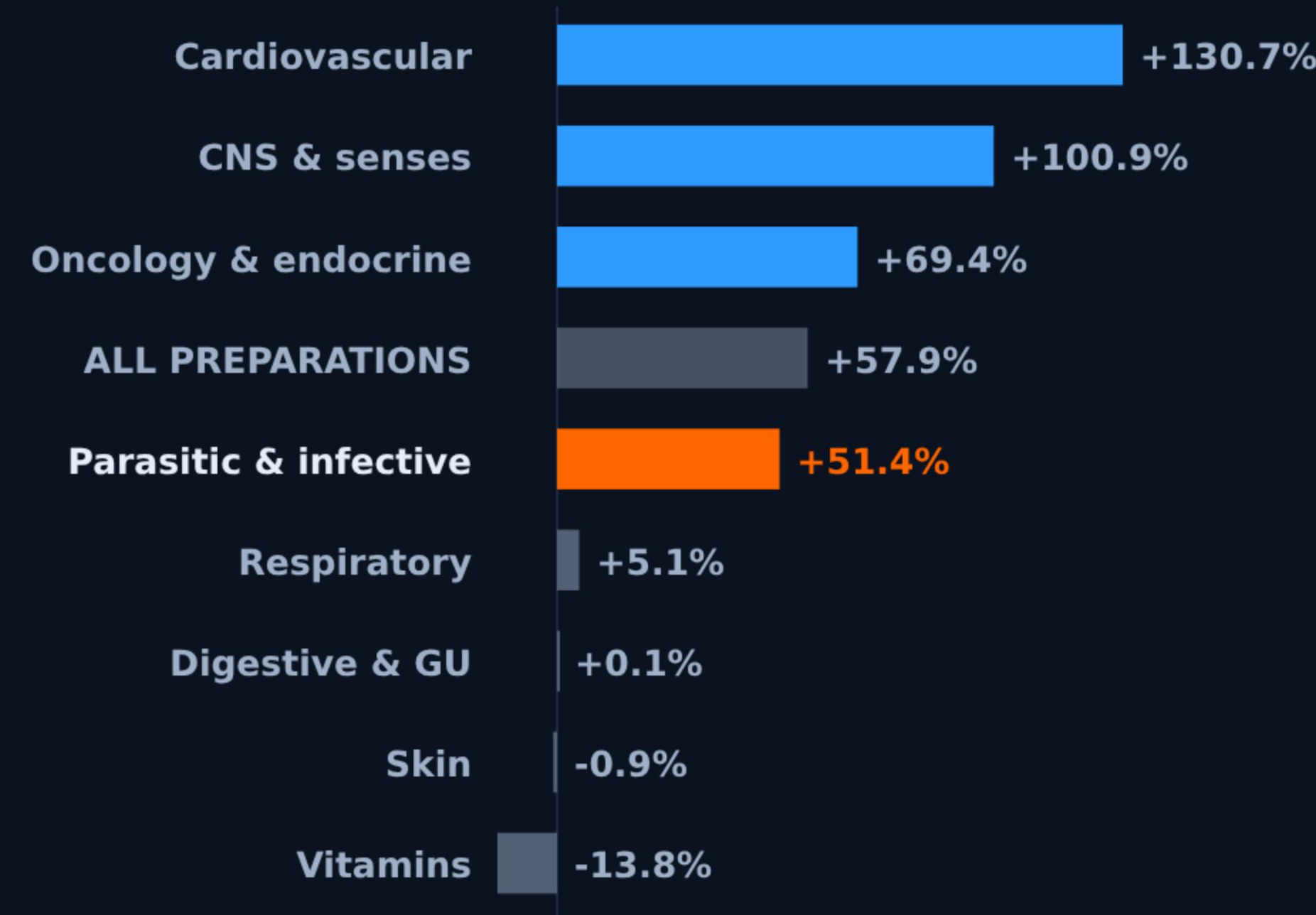
FINISHED SIDE

65.8%

34.2%

There is no "pharma price". The book runs at **two speeds**.

Cardiovascular and CNS roughly doubled. Respiratory, skin and vitamins went nowhere or fell. Between the groups: a cliff — **+51% straight down to +5%.**



The antibiotic line: two true statements, **opposite directions.**

VS ITS INGREDIENT

+58%

spread widened: price
+12.0% while the input fell
29.3% in real terms

VS ITS PEERS

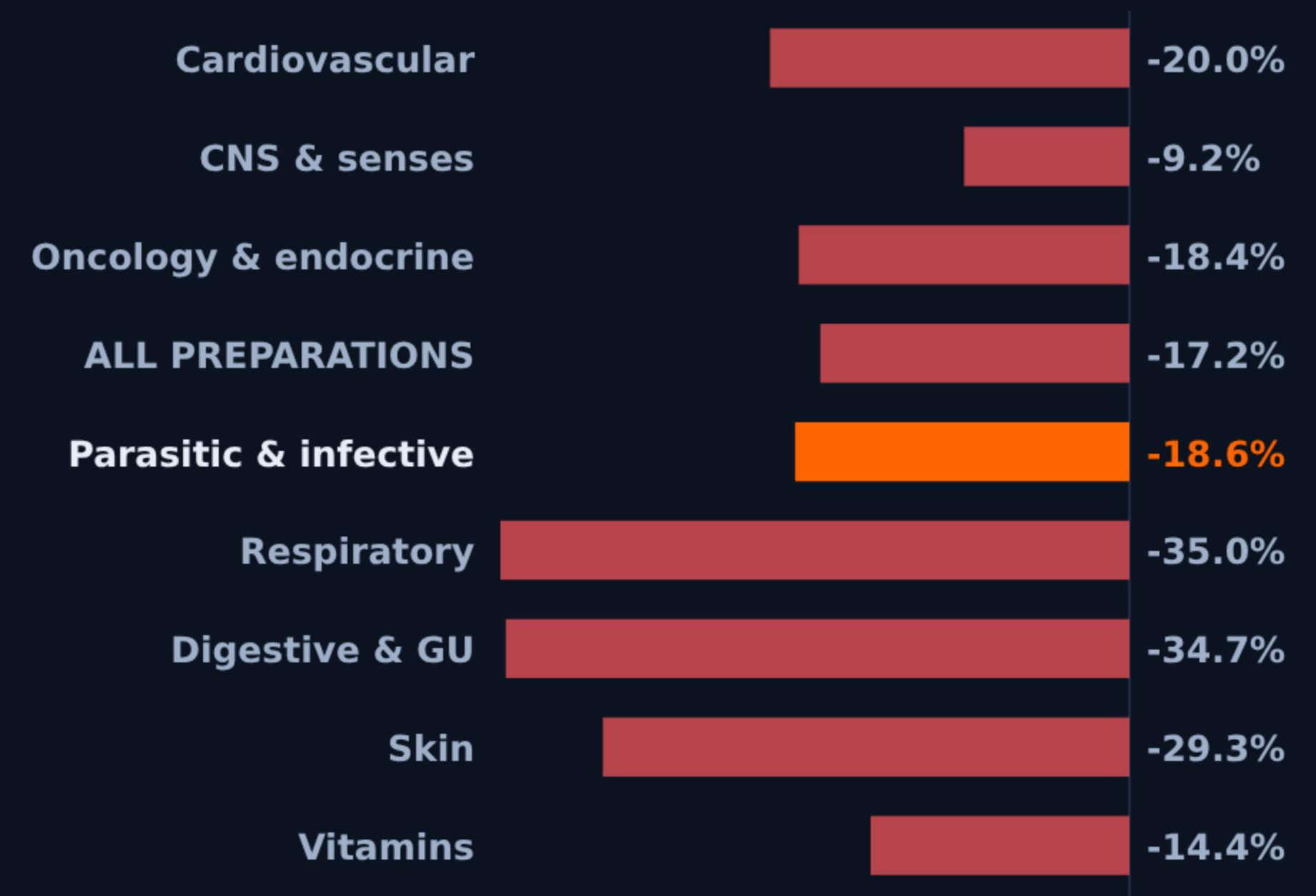
6 / 11

the whole book gained
+29.4% on the identical
window — antibiotics
+12.0%

That combination is the signature of harvesting a cheap input — not of pricing power. Input deflation stops the day ingredient prices turn.

Every class has peaked and turned.

All eight classes are below their real-terms highs — most peaked **between 2017 and 2020**. A plan that assumes real price recovery is arguing against **eight series at once**.



Costs reprice **instantly**. Prices do not.

When the lira moves, how much lands **within the same month**?

into your imported input cost



68%

into your domestic selling price

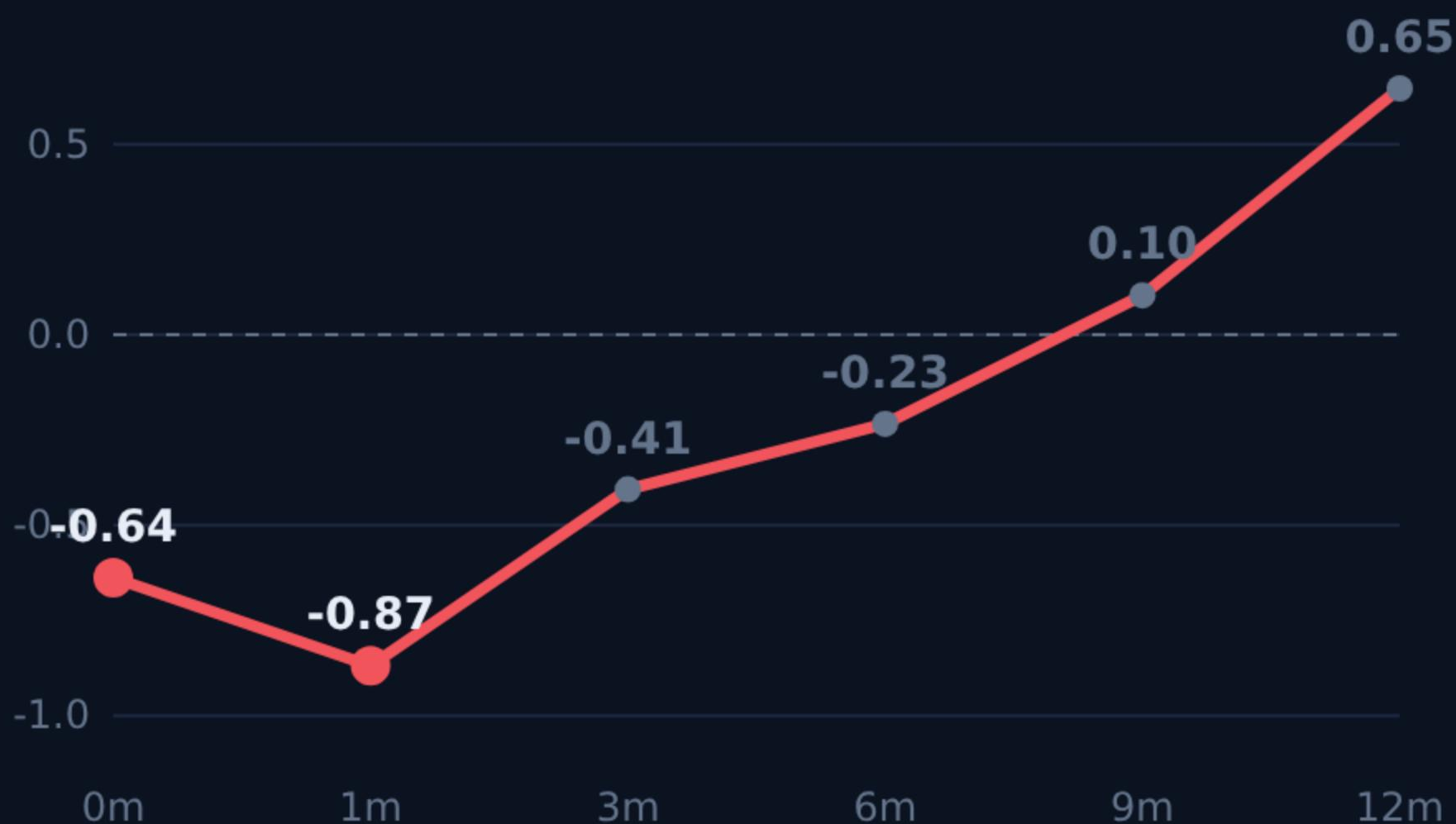


17%

That gap is not a market fact. It is a process choice
— and it is where the margin goes.

The margin takes the hit in the first two months.

–0.64% immediately, **–0.87% by the following month** — then the effect fades into unmeasurability, **not into a proven recovery**. Which sets the hedging horizon: **a quarter, not a year.**



None of this is **veterinary**.

BLS — every checkable product line reads "for Human Use"

Eurostat — no veterinary split published

TÜİK — no veterinary split published

A veterinary-only price index does not exist. Anywhere.

So this is the cost structure an animal-health maker **sits inside** — not its own price book. I'd rather say that plainly than dress an industry average as an animal-health finding.

The margin came from the ingredient. **That's a tailwind, not a strategy.**

UNITED STATES

Price off the ingredient cycle.

Two-thirds of the spread's movement is the input side — build it into the price calendar, not a finished-goods benchmark that moves later and less.

EUROPEAN UNION

Defend volume. There is no spread to find.

Ingredient and finished prices fell within 1.2 points of each other over fourteen years.

TÜRKİYE

Hedge the quarter. Reprice with the currency.

68% of a lira move is in your costs the same month; 17% reaches your price. Close the cadence gap.